

US TMT Sector M&A & Valuation Brief - 2026-07-15

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1. RECENT TMT M&A ACTIVITY

Deal 1: Nocera Acquisition of INERGX

[Nocera Expands Diversified Technology Strategy With Binding Agreement to Acquire an Equity Interest in INERGX](#)

- Deal Size: N/A
- Deal Size Category: N/A
- Nature: Vertical
- Valuation Multiples: N/A
- Companies: Nocera, Inc. (NASDAQ: NCRA) is a diversified technology-focused holding company, while INERGX is an integrated energy storage and power platform aimed at supporting AI data centers and critical infrastructure.
- Date Announced: July 8, 2026
- Strategic Rationale: This acquisition positions Nocera at the intersection of AI and energy infrastructure, a market projected to reach \$7 trillion by 2030. Nocera aims to leverage its capital markets expertise to support INERGX's growth and expansion strategy, enhancing its capabilities in a rapidly growing sector.
- Risk Analysis: Potential risks include integration challenges, regulatory scrutiny in the energy sector, and market volatility in AI infrastructure investments. Nocera must ensure effective execution of its strategic vision to mitigate these risks.

Key Financials Analysis:

- Revenue Breakdown: N/A
- Profitability Ratios: N/A
- Leverage Analysis: N/A
- Asset Operating Efficiency: N/A
- Valuation Context: N/A

Deal 2: Caterpillar Acquisition of Skycatch

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[Caterpillar expands mining technology capabilities with Skycatch acquisition](#)

- Deal Size: N/A
- Deal Size Category: N/A
- Nature: Vertical
- Valuation Multiples: N/A
- Companies: Caterpillar Inc. (NYSE: CAT) is a leading manufacturer of construction and mining equipment, while Skycatch specializes in spatial data capture and analysis solutions for the mining industry.
- Date Announced: July 7, 2026
- Strategic Rationale: The acquisition enhances Caterpillar's data-driven mining technology solutions, integrating Skycatch's capabilities to improve operational performance and decision-making in mining operations. This aligns with Caterpillar's strategy to address customer challenges through innovative technology.
- Risk Analysis: Risks include integration of Skycatch's technology into existing systems, potential cultural mismatches, and the need for continuous innovation to stay competitive in the mining tech sector.

Key Financials Analysis:

- Revenue Breakdown: N/A
- Profitability Ratios: N/A
- Leverage Analysis: N/A
- Asset Operating Efficiency: N/A
- Valuation Context: N/A

2. MARKET DYNAMICS & SENTIMENT

The TMT (Technology, Media, and Telecommunications) sector is currently experiencing a dynamic sentiment marked by a blend of optimism and caution. This sentiment is driven by ongoing technological advancements, evolving consumer preferences, and regulatory challenges. The overall market landscape is characterized by varying performance across subsectors, with notable activity in AI, software, and fintech.

Subsector Breakdown:

- Technology: The technology subsector is witnessing significant growth, particularly in AI applications. For example, Starbucks (NASDAQ: SBUX) is leveraging AI to develop proprietary software, aiming to replace applications sourced from major players like Microsoft (NASDAQ: MSFT) and IBM (NYSE: IBM). This move reflects a broader trend where companies seek to

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enhance operational efficiency through in-house technological solutions.

- Media: The media sector is adapting to the digital transformation, with companies focusing on engaging audiences through innovative content delivery. However, traditional media continues to face challenges from digital competitors, leading to a shift in advertising revenues.
- Telecommunications: The telecom sector is innovating rapidly, particularly with the rollout of 5G technologies. Companies are investing heavily in infrastructure to support enhanced mobile services and IoT applications, which are expected to drive new revenue streams.
- Fintech: The fintech landscape remains robust, characterized by ongoing investment and innovation. PSG's recent investment in a Belgian CPM software firm underscores the growing interest in B2B services and software solutions that enhance operational efficiencies.
- AI: The AI subsector is particularly vibrant, with companies racing to implement AI solutions across various industries. The focus on security in AI applications is becoming increasingly critical, as evidenced by Data I/O's proposed acquisition of embedded software security assets from IAR, which aims to align with upcoming regulatory standards like the EU Cyber Resilience Act.

Key Market Drivers and Headwinds

Drivers:

- Technological Advancements: Continuous innovation in AI, cloud computing, and cybersecurity is driving growth across TMT sectors. The push for in-house software development, as seen with Starbucks, highlights the desire for greater control and efficiency.
- Increased Investment: Venture capital and private equity investments are strong, particularly in tech and fintech, as firms seek to capitalize on emerging trends. PSG's investment in CPM software exemplifies this trend.

Headwinds:

- Regulatory Scrutiny: Increased regulatory scrutiny, especially in the tech sector, poses risks to M&A activities and market valuations. Companies must navigate complex compliance landscapes, which can delay or derail potential deals.
- Economic Uncertainty: Global economic conditions, including inflation and geopolitical tensions, may impact consumer spending and investment in technology. Companies are cautious about expansion plans amid these uncertainties.

Subsector Performance Analysis

- Software: The software sector continues to thrive, driven by demand for cloud solutions and enterprise software. Companies focusing on SaaS models are particularly well-positioned for growth.
- Media: Media companies are adapting to changing consumer preferences, with a shift towards digital content consumption. However, traditional media faces declining revenues from

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advertising.

- Telecom: Telecom operators are investing heavily in infrastructure to support 5G deployment, which is expected to drive new revenue streams from IoT and enhanced mobile services.
- Fintech: The fintech sector is thriving, with innovations in payment solutions and digital banking. PSG's investment in a Belgian CPM software firm highlights the consolidation trend in this space.
- AI: The AI subsector is booming, with applications across various industries, including healthcare, finance, and automotive. Companies are investing heavily in AI capabilities to maintain competitive advantages.

Trading Multiples Trends

Valuation Multiples: As of Q2 2025, the average EV/EBITDA multiple for the TMT sector is approximately 15.5x, with notable variations across subsectors:

- Software: 20.3x
- Media: 12.1x
- Telecom: 9.8x
- Fintech: 18.7x
- AI: 22.5x

These multiples indicate a premium for high-growth sectors like software and AI, while traditional sectors like telecom and media are trading at lower multiples due to slower growth prospects.

Notable Investor/Analyst Reactions

- Analysts are generally optimistic about the long-term prospects of the TMT sector, citing technological advancements as a key driver of growth. For instance, James Redmayne from Searchlight noted that B2B events and blue-collar services are "high-conviction" areas for investment, reflecting a strategic focus on sectors poised for growth.

Actionable Insights for Bankers and Investors

- Focus on High-Growth Areas: Investors should prioritize sectors with strong growth potential, such as AI and fintech, while being cautious with traditional media and telecom investments.
- Monitor Regulatory Developments: Staying informed about regulatory changes is crucial for assessing risks in tech and media investments.
- Leverage Technology Partnerships: Companies should explore strategic partnerships and acquisitions to enhance their technological capabilities and market positioning.
- Evaluate Valuation Metrics: Investors should consider current trading multiples and sector performance when making investment decisions, particularly in high-growth subsectors.

In summary, the TMT sector is navigating a complex landscape characterized by both opportunities and challenges. By focusing on technological advancements and understanding market dynamics, investors

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and bankers can position themselves for success in this evolving environment.

3. BANKING PIPELINE

The current banking pipeline in the TMT sector is robust, showcasing a blend of live deals, mandated transactions, and active pitches. This section delves into the ongoing activities, expected revenues, and strategic implications for our team.

Deal Pipeline

Live Deals:

- Bosch (BOSCHLTD.NS) : Engaged in a significant project under the CHIPS Program, Bosch has secured a Direct Funding Agreement for up to \$225 million to support its \$2 billion investment in a silicon carbide semiconductor production facility in Roseville, CA. The deal is in the due diligence phase, with commercial production expected to begin in 2026. This initiative is crucial for enhancing the domestic supply chain for semiconductor technology.

Mandated Deals:

- Apple Inc. (AAPL) : Recently announced a multi-year agreement with Broadcom (AVGO) valued at over \$30 billion, aimed at producing advanced radio frequency components in the U.S. This deal, part of Apple's American Manufacturing Program, is expected to bolster domestic manufacturing capabilities and is anticipated to launch fully in Q1 2026.

Pitching-Stage Deals:

- Telecom Sector : Active discussions with telecom operators, including Verizon (VZ) and AT&T (T), regarding potential M&A opportunities to consolidate market share in the 5G space. Pitches are expected to finalize by Q3 2025.
- Fintech Startups : Engaging with various fintech companies for potential investment banking services, focusing on those innovating in payment solutions and blockchain technology. Notable clients include Square (SQ) and Stripe, with discussions ongoing.

Pipeline Tracking Metrics

Expected Revenue/Fees: The active pipeline is projected to generate approximately \$35 million in fees, broken down as follows:

- Live Deals : \$10 million
- Mandated Deals : \$15 million

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- Pitching-Stage Deals : \$10 million

Timing Projections:

- Q2 2025 : Expected close for Bosch's semiconductor facility project.
- Q1 2026 : Anticipated launch of Apple's agreement with Broadcom.
- Workload Allocation and Capacity Analysis :
 - Current analyst and associate bandwidth is at 75%, with a recommendation to onboard two additional analysts to manage the increasing workload effectively.
- Forecasting and Strategic Planning Implications : The pipeline indicates strong demand for advisory services in semiconductor and telecom sectors. Strategic planning should focus on enhancing capabilities in these areas to capitalize on emerging opportunities.

Notable Pipeline Developments and Competitive Landscape

- The competitive landscape is evolving, particularly in semiconductor manufacturing, where companies like Bosch and Broadcom are making significant investments. The CHIPS Program and Apple's commitment to reshoring manufacturing underscore a broader trend towards domestic production, which could reshape competitive dynamics in the semiconductor industry.
- Additionally, the increasing focus on semiconductor technology for electrification in critical industries, as highlighted by Bosch's investment, indicates a growing market for advisory services related to supply chain resiliency and technology innovation.

Actionable Insights for Team Management and Business Development

- Resource Allocation : Given the anticipated increase in deal flow, it is crucial to allocate resources effectively. Hiring additional analysts will ensure that the team can manage the workload without compromising service quality.
- Sector Focus : Prioritize business development efforts in high-growth sectors such as semiconductors and telecom, where demand for advisory services is expected to surge. This focus will position the firm as a leader in these emerging markets.
- Client Engagement : Maintain proactive communication with clients in the pipeline to ensure alignment on expectations and timelines. Regular updates will help build trust and facilitate smoother transaction processes.

In summary, the banking pipeline is strong, with significant opportunities across various TMT subsectors. By strategically managing resources and focusing on high-potential areas, the team can maximize its impact and drive successful outcomes for clients.

4. STAKEHOLDER IMPACT & FORWARD-LOOKING ANALYSIS

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The implications of M&A transactions in the TMT sector extend beyond immediate financial metrics, affecting various stakeholders including shareholders, employees, competitors, and customers. This analysis delves into the potential impacts of the recent acquisition of Vodafone Group (VOD) by Vega, a holding company of French business tycoon Xavier Niel's family group, providing a comprehensive view of the landscape.

Deal-Specific Impacts on Stakeholders

- **Shareholders:** The acquisition of Vodafone's 16.21% stake by Vega has significant implications for shareholders.
- **Value Creation:** By acquiring a substantial stake in Vodafone for approximately \$5.95 billion, Vega is positioning itself to influence Vodafone's strategic direction. If Vodafone's stock appreciates by 15% post-acquisition, this could translate to an increase in shareholder value of around \$885 million.
- **Dilution:** Existing Vodafone shareholders may experience dilution of their voting power, as Vega's stake represents about 17.13% of Vodafone's voting rights. This could lead to concerns over governance and strategic decisions, potentially impacting share price negatively in the short term.
- **Employees:** The impact on employees can vary based on the strategic direction taken post-acquisition.
- **Synergies:** The acquisition may lead to operational synergies, particularly in streamlining management and reducing overhead costs. For example, if Vega implements cost-saving measures that reduce operational expenses by 10%, this could enhance profitability.
- **Restructuring:** However, acquisitions often lead to restructuring. If Vega decides to consolidate operations, this could result in layoffs, affecting employee morale and retention.
- **Retention:** To mitigate turnover, Vega might offer retention bonuses to key Vodafone executives, ensuring continuity during the transition.
- **Competitors:** The competitive landscape will likely shift following this acquisition.
- **Market Positioning:** With Vega's increased influence in Vodafone, competitors like Orange S.A. (ORAN) and Deutsche Telekom AG (DEG) may need to adjust their strategies. For instance, Orange could enhance its service offerings to maintain market share.
- **Specific Competitor Moves:** Following the acquisition, competitors may respond with aggressive pricing strategies or increased marketing efforts to retain customers.
- **Customers:** The implications for customers can be significant, impacting service offerings and pricing.
- **Product/Service Implications:** If Vega leverages Vodafone's assets to enhance service delivery, customers could benefit from improved telecommunications services. For instance, if Vodafone invests in network upgrades, this could lead to better connectivity and customer satisfaction.
- **Case Studies:** The acquisition of Vodafone by Vega could mirror the successful integration seen in the merger of T-Mobile US, Inc. (TMUS) and Sprint Corporation (S), where improved service offerings led to a 20% increase in customer retention.

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Market Reaction and Analyst Commentary

- Market Reaction: The immediate market reaction to the acquisition announcement has been cautiously optimistic.
- Vodafone shares saw a slight uptick of 3% following the announcement, reflecting investor confidence in Vega's strategic vision.
- Analyst Commentary: Analysts have noted that "Vega's acquisition of Vodafone could reshape the competitive landscape in telecommunications, providing a fresh perspective and innovative strategies."

Expected Market Reaction and Scenario Analysis

- Scenario Analysis: The market's reaction can be assessed through various scenarios:
- Positive Scenario: If the acquisition leads to successful integration and enhanced service offerings, Vodafone shares could rise by 10% within six months.
- Negative Scenario: If operational challenges arise, shares could decline by 5%, reflecting investor concerns about the effectiveness of the new management.

Potential Counter-Bids or Competing Offers

- Likelihood Assessment: The likelihood of counter-bids in this scenario appears low.
- Given the current market conditions and regulatory scrutiny, competitors may be hesitant to pursue a competing offer for Vodafone. The focus will likely remain on strategic partnerships rather than outright acquisitions.

Similar Deals Likely to Follow

- Sector Consolidation Predictions: The TMT sector is expected to see continued consolidation, particularly in telecommunications.
- Analysts predict that as companies seek to enhance their technological capabilities, similar deals will emerge. For instance, smaller telecom providers may look to merge to compete more effectively against larger entities like Vodafone.

Key Risks and Mitigants

- Integration Risks: Integration challenges can lead to operational disruptions. Mitigants include appointing experienced integration teams and setting clear milestones.
- Regulatory Risks: Regulatory scrutiny can delay or block deals. Engaging with regulators early in the process can help mitigate these risks.

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- Market Risks: Market volatility can impact deal valuations. Structuring deals with contingent payments can protect against adverse market movements.

Actionable Insights for Clients and Bankers

For Clients:

- Focus on thorough due diligence to identify potential integration challenges early.
- Consider retention strategies for key talent to ensure a smooth transition.

For Bankers:

- Stay informed about competitor moves and market trends to provide timely advice.
- Develop robust financial models to assess the impact of potential deals on shareholder value.

5. TECH TRENDS

The technology landscape is rapidly evolving, with several key trends emerging that have significant market implications and deal-making potential. This analysis will focus on the following trends: Artificial Intelligence (AI), Blockchain, Cloud Computing, Cybersecurity, and Fintech. Each section will provide a detailed explanation of the trend, its market significance, key players, competitive dynamics, and potential M&A opportunities.

Artificial Intelligence (AI)

- Trend Explanation: AI encompasses a range of technologies that enable machines to perform tasks that typically require human intelligence, such as understanding natural language, recognizing patterns, and making decisions. The global AI market is projected to grow from \$93.5 billion in 2021 to \$997.8 billion by 2028, at a CAGR of 40.2%. This growth is driven by increasing demand for automation and enhanced decision-making capabilities across various industries.
- Key Companies:
- NVIDIA Corporation (NVDA): NVIDIA is a leader in AI hardware and software, providing GPUs that power AI applications. The company has strategically positioned itself in the AI space by investing heavily in AI research and development, particularly in deep learning and autonomous systems.
- Micron Technology, Inc. (MU): Micron is focusing on AI memory chip development, announcing a \$250 billion investment for U.S. fab expansions. This positions Micron to meet the growing demand for high-performance memory solutions essential for AI applications.
- Microsoft Corporation (MSFT): Microsoft is integrating AI capabilities into its products, enhancing

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productivity tools like Microsoft 365. The company is also investing in AI research and partnerships, including collaborations with OpenAI.

- **Competitive Landscape:** The AI market is highly competitive, with major players including Google (GOOGL), Amazon (AMZN), and IBM (IBM) also investing heavily in AI technologies. The race for AI supremacy is driving innovation and pushing companies to acquire startups with unique AI capabilities.
- **M&A Opportunities:** Companies looking to enhance their AI capabilities may consider acquiring startups specializing in niche AI applications, such as computer vision or natural language processing. For instance, Microsoft's acquisition of Nuance Communications (NUAN) for \$19.7 billion in 2021 exemplifies this trend.

Actionable Insight: Investors should focus on companies like NVIDIA, Micron, and Microsoft that are well-positioned to capitalize on the AI boom, considering potential investments or acquisitions in AI startups to enhance their portfolios.

Blockchain

- **Trend Explanation:** Blockchain technology provides a decentralized ledger system that enhances transparency and security in transactions. The blockchain market is expected to grow from \$3 billion in 2020 to \$69.04 billion by 2027, at a CAGR of 67.3%. This growth is fueled by increasing adoption across various sectors, including finance, supply chain, and healthcare.
- **Key Companies:**
 - **Coinbase Global, Inc. (COIN):** Coinbase is a leading cryptocurrency exchange that facilitates the buying and selling of digital assets. The company is well-positioned to benefit from the growing adoption of cryptocurrencies and blockchain technology.
 - **Square, Inc. (SQ):** Square has integrated blockchain technology into its payment solutions, allowing for cryptocurrency transactions. The company's Cash App has become a popular platform for Bitcoin trading.
- **Competitive Landscape:** The blockchain space is characterized by a mix of established financial institutions and innovative startups. Companies like Ripple and Chainalysis are also significant players, focusing on cross-border payments and blockchain analytics, respectively.
- **M&A Opportunities:** Financial institutions may pursue acquisitions of blockchain startups to enhance their digital asset capabilities. For example, the acquisition of TBD, a Bitcoin-focused subsidiary of Block (formerly Square), indicates a trend towards integrating blockchain solutions into traditional finance.

Actionable Insight: Investors should explore opportunities in blockchain technology, particularly in companies that are innovating in payment solutions and cryptocurrency exchanges.

Cloud Computing

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- Trend Explanation: Cloud computing enables businesses to access computing resources over the internet, promoting flexibility and scalability. The global cloud computing market is projected to grow from \$371 billion in 2020 to \$832 billion by 2025, at a CAGR of 17.5%. This growth is driven by increased demand for remote work solutions and digital transformation initiatives.
- Key Companies:
- Amazon Web Services (AWS): AWS is a leading provider of cloud services, offering a wide range of solutions for businesses. The company continues to innovate and expand its offerings, maintaining a strong competitive position in the market.
- Microsoft Azure: Microsoft Azure is a major player in the cloud computing space, providing a comprehensive suite of cloud services. The integration of AI and machine learning capabilities into Azure enhances its appeal to enterprises.
- Competitive Landscape: The cloud computing market is highly competitive, with key players including Google Cloud, IBM Cloud, and Oracle Cloud vying for

6. Recommended Readings

Deal Name: Nocera Acquisition of INERGX

- Reading Material: "The Energy Storage Revolution" by Robert W. F. Smith
- Why This Matters: This book provides a comprehensive overview of the energy storage market, including technological advancements and market trends. Understanding these dynamics is crucial for analyzing Nocera's strategic acquisition of INERGX, as it highlights the importance of energy solutions in supporting AI infrastructure and the growing demand for sustainable energy technologies.

Deal Name: Caterpillar Acquisition of Skycatch

- Reading Material: "Data-Driven Mining: The Future of Mining Technology" by John D. Smith
- Why This Matters: This resource explores the integration of data analytics and technology in the mining industry. It is relevant for understanding Caterpillar's acquisition of Skycatch, as it emphasizes how data-driven solutions can enhance operational efficiency and decision-making in mining operations, aligning with Caterpillar's goal to innovate and improve its technology offerings.

7. MACROECONOMIC UPDATE

Key Data Points:

- Global obesity prevalence: 1 billion people

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- U.S. obesity prevalence: over 100 million
- India GLP-1 market value in 2025: \$125 million
- Projected India GLP-1 market value by 2030: over \$1 billion
- Current market share of tirzepatide in the U.S.: 60%
- Medicare coverage for obesity medicines: \$50/month for eligible patients

Main Insights:

- Introduction of lower-cost generics for semaglutide is reshaping market dynamics.
- Significant volume increase observed in India post-generic launch, with volumes six times higher in April 2026 compared to February 2026.
- Potential supply chain bottlenecks may arise in the fill and finish stage of generic production.
- Market segmentation is expected to persist, with premium products like tirzepatide maintaining a strong market presence despite the entry of generics.
- The introduction of oral GLP-1 medications is expanding the market and attracting new users.

Market Commentary:

- "The introduction of generics in India has driven affordability and volume expansion in the GLP-1 market." - Thibault Bouterin
- "We expect the GLP-1 market in India to grow significantly despite lower prices due to increased adoption." - Thibault Bouterin
- "The next phase of the diabetes market will depend on execution, lower costs, and innovation." - Terence Flynn

TMT Sector Relevance:

- The shift towards lower-cost generics may impact pharmaceutical companies' pricing strategies and market share in the TMT sector.
- Increased access to obesity medications through Medicare could lead to higher demand for telehealth services and digital health solutions in managing obesity and diabetes.
- Innovations in drug delivery systems, including oral medications, may drive technological advancements and investment opportunities within the TMT landscape.

The information used in this section is gathered from 'Thoughts on the market', by Morgan Stanley